

MERT MARKETPLACE

Comprehensive Merchant Return, Refund & Dispute Resolution Policy

An exhaustive regulatory and operational framework governing seller obligations, customer return lifecycle management, category-specific protocols, logistics rules, and reverse financial settlements on the Mert Indian E-Commerce Platform.

Platform Operator:	Mert Technologies Private Limited, India
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Target Audience:	All Registered Marketplace Vendors / Merchants (India)
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Merchant Support Desk:	8888-8888-88
Merchant Escalations:	mertsupport@mert.com
Legal Compliance:	

In accordance with Consumer Protection (E-Commerce) Rules, 2020
(India) & Legal Metrology Act, 2009.

1. Executive Summary & Legal Preamble

Welcome to **Mert**. This Comprehensive Merchant Return, Refund, and Dispute Resolution Policy ("Policy") forms a legally binding agreement between you—the registered vendor, manufacturer, wholesaler, or retail merchant ("Merchant" or "Seller")—and Mert Technologies Private Limited ("Mert", "Platform", "We", or "Us"). This document outlines your operational obligations, service level agreements (SLAs), financial structures, and liabilities regarding consumer returns, order cancellations, product exchanges, reverse logistics, and customer refunds.

As an e-commerce platform operating in India, Mert is required under the **Consumer Protection (E-Commerce) Rules, 2020**, and the **Information Technology Act, 2000**, to maintain robust grievance redressal mechanisms and structured return pathways. Merchants on Mert are deemed independent contractors selling directly to the end consumer. Consequently, the ultimate legal responsibility to fulfill statutory product warranties, replace defective products, and honor refunds lies with the Merchant. This document provides an absolute, granular roadmap covering every imaginable consumer scenario to protect the merchant's enterprise while strictly matching the statutory rights of Indian consumers.

1.1 Document Structure and Navigation

To ensure absolute operational clarity, this document is structured into clear regulatory pillars. Merchants are legally required to review all sub-sections before creating a product listing or deploying stock to Mert Fulfillment Centers (MFC).

- **Section 2:** Core Principles of the Reverse Logistics Lifecycle
- **Section 3:** Matrix of Product Categories and Return Windows
- **Section 4:** Comprehensive FAQ System for Onboarded Merchants
- **Section 5:** Breakdown of Payment Types and Refund Routings
- **Section 6:** Reverse Logistics Logistics and Return Shipping Fee Schedules
- **Section 7:** Merchant Protection Fund (MPF) and Damage Claim Process
- **Section 8:** Category-Specific Return Assessment Criteria
- **Section 9:** Legal Framework, Penalties, and Escalation Matrix

CRITICAL REGULATORY COMPLIANCE MANDATE

By listing any product on Mert, you explicitly agree that you will not refuse a return or refund request that qualifies under the conditions stipulated herein. Arbitrary rejection of consumer returns without verified photographic/videographic proof of customer fraud will result in severe penalties, suspension of the seller dashboard, and forfeiture of outstanding payouts.

2. Core Principles of the Reverse Logistics Lifecycle

Every return initiated on the Mert application triggers an interconnected logistical and financial sequence. Understanding this architecture is vital to minimize operational leakage, monitor inventory overheads, and maintain a low Return to Origin (RTO) score.

The lifecycle consists of five distinct phases, governed by system automation and strict cut-off windows:

2.1 Phase 1: Customer Initiation & Return Validation

A consumer can file a request for a return or replacement via the Mert app or website within the specific product-category window. The customer must specify a standard reason code (e.g., "Product Defective", "Size Does Not Fit", "Item Misdescribed", "Wrong Item Received"). For specific high-value categories, the customer must upload high-resolution images or short video files demonstrating the defect before the logistics system generates a Reverse Pickup (RPU) order.

2.2 Phase 2: Reverse Pick-Up (RPU) Protocol

Once approved by Mert's automated gating engine, an RPU instruction is dispatched to Mert's designated logistics partners (e.g., Delhivery, Blue Dart, Shadowfax, Xpressbees, or Mert Logistics). The courier agent conducts a basic Quality Check (QC) at the customer's doorstep. This doorstep QC evaluates:

- Whether the product matches the Brand, Stock Keeping Unit (SKU), and serial numbers listed in the original order.
- Presence of all primary tags, manufacturer boxes, original price tags, and accessories.
- Absence of structural, visible wear or intentional physical destruction.

2.3 Phase 3: In-Transit Reverse Tracking

Following a successful pickup, the item travels through a reverse delivery pipeline. It is scanned at regional consolidation nodes and routed back to either:

- a) The Merchant's registered warehouse address (for Seller-Fulfilling/Drop-Ship models).
- b) The Mert Fulfillment Center (MFC) (for Mert-Managed fulfillment models).

2.4 Phase 4: Warehouse Inwarding and Final Verification

Upon receipt of the returned asset, the Merchant or the MFC staff has exactly 48 hours to complete a deep inward evaluation. If a merchant detects that a product has been swapped, stripped of components, or deeply damaged by the user, the merchant must log an immediate dispute via the Mert Merchant Panel.

2.5 Phase 5: Financial Settlement & Refund Release

If no dispute is triggered within the 48-hour window, or if the product passes final inwarding validation, the platform's financial node automatically executes a refund to the consumer's original payment method or Mert Wallet, while reversing the credit from the Merchant's ledger.

3. Matrix of Product Categories and Return Windows

Mert operates a diverse multi-category e-commerce platform. It is strictly forbidden to apply a uniform return policy across all product types. Some items are inherently non-returnable due to health, hygiene, licensing, or safety regulations under Indian law, while others are eligible for extended trial periods.

The table below defines the absolute regulatory parameters for each vertical. Merchants must review these matrices before pricing products, as return windows directly affect capital lock-up durations.

Product Category	Return Window	Allowed Action Type	Explicit Policy Exceptions & Rules
Consumer Electronics & Smartphones	7 Days	Replacement Only	Customers can only get a replacement if the product arrives dead (DOA) or damaged. No refunds are allowed for buyer's remorse. A brand-authorized technician check may be required before replacement is approved.
Laptops, Desktops & Tablets	7 Days	Replacement Only	Requires full verification of Serial Number/IMEI. The merchant must provide software testing support. No returns if the customer registers the manufacturer warranty or changes pre-installed OS.
Large Appliances (ACs, TV, Washers)	10 Days	Technician Visit & Replacement	Requires verification of unboxing damages by a Mert-certified technician. If installation is done by an external uncertified agent, the return policy is automatically voided.
Apparel, Clothing & Fast Fashion	14 Days	Return & Refund / Exchange	Fully returnable for size, fit, and color preferences. Items must be unwashed, unworn, and have all original plastic fasteners and brand tags attached.
Footwear & Shoes	14 Days	Return & Refund / Exchange	Must be returned in the original manufacturer shoe box. Boxes must not be taped or written on directly by the courier or consumer.
Innerwear, Lingerie & Socks	0 Days	Non-Returnable	Strictly non-returnable due to hygiene and health guidelines under Indian consumer protection laws. Exceptions only apply if the completely wrong product style/size is delivered.

3.2 Specialized, Consumable, and Niche Categories

The table below details categories involving ingestibles, lifestyle elements, perishables, and luxury assets that require highly restricted reverse protocols to safeguard operational viability.

Product Category	Return Window	Allowed Action Type	Explicit Policy Exceptions & Rules
Beauty, Cosmetics & Personal Care	0 Days	Non-Returnable	Non-returnable once the factory seal, shrink wrap, or outer protective box is broken. Eligible for replacement within 3 days only if delivered expired, physically leaking, or smashed in transit.
Grocery, Gourmet Food & Perishables	0 Days	Immediate Refund Only	Non-returnable due to decay risks. If the items are spoiled, expired, or have broken packs at delivery, Mert issues an immediate customer refund funded by the merchant, without reverse pickup.
Baby Care (Diapers, Feeders)	5 Days	Replacement Only	Diaper packs must be unopened and completely sealed. Toys and accessories are subject to regular electronic/plastic testing. Feeding bottles are non-returnable once opened.
Home Decor & Hard Furniture	10 Days	Part Replacement / Repair	For scratches or missing assembly parts, the Merchant must ship the missing components within 4 days. Full item returns are only accepted if the core frame is structurally broken or warped.
Automotive Parts & Lubricants	7 Days	Return & Refund	Engine oils, additives, and fluids are non-returnable if the internal foil seal is broken. Mechanical parts (brakes, filters) must show zero installation marks or grease stains.
Gold, Silver & Precious Jewelry	2 Days	Strict Verification Return	Requires digital video recording during reverse pickup. The product must match the exact gram weight down to 0.01g and must include the original Hallmarking/GIA/IGI laboratory certificate.
Books & Educational Software	3 Days	Replacement Only	Only eligible for returns if pages are physically missing, misprinted, or bound upside down. Software CDs or digital activation keys are completely non-returnable and non-refundable.

4. Merchant FAQ: Comprehensive Operational Answers

This section answers operational questions commonly raised by onboarded merchants. It provides practical, legally definitive guidelines for real-world scenarios on the platform.

Q1: A customer initiated a return stating "Item Not As Described," but my product listing page is perfectly accurate. Why did Mert approve this, and am I liable?

A: Mert utilizes an automated first-level customer satisfaction approval protocol. Customers have the statutory right to request a return if they perceive a difference in color tone, texture, or performance. At the preliminary stage, Mert approves the return to maintain ecosystem trust. You are not immediately penalized. You become liable for reverse shipping charges only after the item returns to your warehouse and it is confirmed that either incorrect images were used or the wrong product variation was shipped. If the product matches the listing description perfectly, you can open a dispute via the Merchant Panel to recover reverse fees.

Q2: What is an RTO (Return to Origin) order, and how does it differ from a standard customer return? Who pays for RTO shipments?

A: An RTO occurs when a shipment cannot be delivered to the consumer due to an incorrect address, phone number unreachable, or because the customer explicitly rejected the package at the doorstep (common with Cash on Delivery). This differs from a standard return because the package is never opened or possessed by the consumer. Under Mert's standard merchant tier rules, the Merchant is not charged reverse shipping fees for RTOs resulting from logistics failures. However, if an RTO happens because the shipment was dispatched long after the fulfillment SLA, the merchant will bear the logistics costs.

Q3: A customer returned an empty box instead of a high-value smartphone. How do I get my money back, and what is the maximum resolution timeframe?

A: This is treated as potential consumer fraud. Do not complete the inwarding process on your dashboard. Select "Report Fraud / Discrepancy" within 48 hours of delivery. You must upload a continuous, unedited video of your warehouse team unboxing that specific shipment. The video must clearly show the label tracking number, the courier seal, and the empty box contents. Mert's Internal Fraud Investigation Team will review the evidence and cross-reference it with the weight recorded at the courier hub. Verified empty boxes are reimbursed to the merchant via the Merchant Protection Fund (MPF) within 14 business days.

Q4: The courier partner delivered a customer return package to my warehouse, but it is severely crushed and water-damaged. Should I accept or reject the delivery?

A: NEVER reject the physical delivery of a returned package from a courier agent, regardless of its physical condition. Rejecting the package means it remains with the logistics provider, where it may be abandoned, voiding your right to file an MPF claim. Accept the package, write "Damaged Packet Received" on the courier's physical acknowledgment sheet or digital scanner application, and immediately record an unboxing video. Use this video to file a damage claim on the Merchant Dashboard within 48 hours to secure reimbursement.

Q5: Can I contact a customer directly via phone or email to resolve a return dispute or request them to change their review?

A: No. Direct merchant-to-customer communication regarding dispute alterations, review manipulation, or independent settlement offers outside the platform is strictly prohibited. This restriction helps protect consumer privacy and prevents harassment under Indian data protection regulations. All communications must happen through the Mert Merchant-Customer Message Gating Protocol. Any merchant found making unauthorized calls to numbers obtained from shipping labels will face immediate onboarding termination and a fixed penalty of ₹50,000 per violation.

Q6: A customer has used a designer ethnic dress for an event, stained it, and then returned it within the 14-day window. How can I protect myself from wardrobing?

A: To combat "wardrobing" (buying items solely to wear once and return), Mert applies a "Mert Security Tag" to high-value apparel items. This tag is prominently displayed on the exterior of the garment. Our policy explicitly informs consumers that if this tag is cut, removed, or tampered with, the item is no longer eligible for a return. If you receive a returned garment with the security tag missing, or with visible perfume odors, makeup stains, or sweat marks, log a dispute immediately with photographic proof. Mert will reject the customer's refund and ship the item back to them, or reimburse you if the customer disputes it further.

Q7: Can I opt-out of offering returns entirely and sell my products on a "Strictly No>Returns / No-Refunds" basis?

A: Under the Consumer Protection (E-Commerce) Rules, 2020 issued by the Ministry of Consumer Affairs, Government of India, no e-commerce marketplace marketplace or merchant can completely eliminate a customer's right to return an item if it is defective, late, or non-compliant with descriptions. You can choose a "No>Returns" policy only for specific exempted categories permitted by law, such as fresh groceries, customized items, or personal hygiene products. For all standard consumer verticals, you must offer the minimum platform return window outlined in Section 3.

Q8: How does Mert handle customer returns for items sold during mega festive sales (e.g., Diwali Diwali Bonanza) where deep discounts were applied?

A: The return window and compliance steps remain identical during promotional events. The refund amount issued to the customer will always equal the actual net transaction amount paid at checkout, not the original MRP. If the promotion was co-funded by Mert and the merchant, the reversed amount from your seller ledger will match your agreed promotional share. Reverse logistics fees during mega promotional periods are sometimes discounted; please refer to the specific campaign agreement dashboard for active adjustments.

Q9: What happens if a customer claims they received an expired cosmetic cream, but I know my warehouse inventory only holds stock expiring in 2028?

A: Mert uses a batch-tracking system for items with expiration dates. When you fulfill an order, you or the MFC must log the specific Batch Number and Expiry Date. If a customer files a complaint, we check the delivered batch details. If the customer uploads a photo showing an expired batch number that does not match what was shipped to them, Mert will deny the refund request due to customer fraud. If you failed to log the batch data during fulfillment, the system will favor the consumer's evidence, and the refund liability will rest on you.

Q10: Are return shipping fees fixed, or do they fluctuate based on fuel surcharges, regional zones, and volumetric metrics?

A: Return shipping fees are calculated based on the higher of dead weight or volumetric weight, along with the shipping distance (Intra-city, Intra-zone, or National). Volumetric weight is calculated using the formula: $\text{(Length} \times \text{Width} \times \text{Height in cm)} / 5000$. These rates are standardized by Mert to prevent unpredictable spikes, though they may be adjusted quarterly to account for nationwide macro-fuel adjustments. The current billing matrix is always visible under the "Logistics Tariff" tab of your Merchant Panel.

Q11: What happens if a customer returns an item without its original packaging box, but the item itself is in pristine condition? Can I deduct a fee?

A: Yes. For categories like Electronics, Small Home Appliances, and Branded Footwear, the manufacturer's original packaging box is considered an essential component of the product asset. If a consumer returns the item without this box, its resale value drops substantially. You can log a "Partial Value Loss" claim via your panel. Mert will review the case and may deduct up to 25% from the customer's refund or credit your account to cover repackaging costs, provided the loss is well-documented.

Q12: If an item is lost by the courier provider during the reverse pickup journey, who absorbs the financial loss, and when do I get reimbursed?

A: Once a courier partner scans an item at pickup, the product enters Mert's custody network. If the package is lost, stolen, or untraceable for more than 21 days from the pickup date, the system marks the shipment as "Reverse Lost." Mert will credit the full contractual payout amount (minus standard marketplace commissions) to your account during the next billing cycle, ensuring you face no financial loss for logistics errors.

5. Breakdown of Payment Types and Refund Routings

The mechanism by which a customer pays for an order directly dictates the operational routing, timelines, and technical pathways of the subsequent refund. Mert handles multiple online and offline payment types within India, operating under strict Reserve Bank of India (RBI) payment aggregator regulations.

Merchants must understand these structures, as customer inquiries about processing delays are often routed through the merchant's digital portal.

Original Payment Gateway Method	Refund Recipient Destination	Standard TAT (Turnaround Time)	Technical & Operational Processing Rules
Unified Payments Interface (UPI) (GPay, PhonePe, BHIM)	Original Linked Bank Account via VPA	24 to 48 Hours	Processed via instant IMPS/UPI clearing arrays. This is the fastest online refund route. It rarely encounters bank bottlenecks unless the customer's destination bank account is frozen or inactive.
Credit Cards / Debit Cards (Visa, Mastercard, RuPay)	Original Issuing Bank Card Balance	5 to 7 Working Days	The refund is routed back through our partner Payment Gateway (e.g., Razorpay, Razorpay, or Cashfree) to the card network. The exact timeline depends on the issuing bank's settlement cycle.
Net Banking (SBI, HDFC, ICICI, Axis)	Source Savings/ Current Account	3 to 5 Working Days	Requires core banking clearing verification. Refunds are processed through automated clearing house (ACH) batches or direct bank APIs.
Cash on Delivery (COD)	Mert Wallet or Verified NEFT Account	48 Hours from Bank Detail Provision	Since no digital link exists at purchase, the customer must choose to receive credit via Mert Wallet or provide their Bank Name, IFSC code, and Account Number. Mert validates this data before processing payouts.
Mert Wallet / Gift Vouchers	Mert User Wallet Balance	Instant (Within 5 Minutes)	Non-expiring internal digital ledger updates. If an order used a combination of COD and Wallet, the refund mirrors that breakdown exactly.
Equated Monthly Installments (EMI) / Buy Now Pay Later (BNPL)	Financing Partner Network (ZestMoney, Capital Float, Banks)	7 to 10 Working Days	Mert cancels the loan or credit agreement with the partner financier. The financier then credits back any down payments or principal portions already collected from the user.

ANTI-MONEY LAUNDERING AND FRAUD PREVENTION DIRECTION

Mert will never issue a cash refund or direct manual bank transfers to a third-party account that does not match the customer name on the primary invoice. Merchants are strictly forbidden from issuing direct personal cash or UPI payouts to customers under any circumstances.

6. Reverse Logistics Logistics and Return Shipping Fee Schedules

Managing reverse logistics involves substantial resource allocation. When a customer returns an item due to a merchant-attributable error (e.g., defective item, wrong size shipped, expired item, counterfeit product), the cost of this reverse journey is charged to the merchant's account.

The table below details the standardized reverse logistics fee structure. These costs are calculated based on physical mass, volumetric considerations, and geographic distance across India.

Weight Slab (Dead or Volumetric)	Intra-City Return Fee	Intra-Zone / State Return Fee	National (Inter-State) Return Fee
0.00 kg to 0.50 kg (Light Apparel, Mobile Cases, Jewelry)	₹45.00	₹65.00	₹90.00
0.51 kg to 1.00 kg (Heavy Clothing, Shoes, Tablets)	₹60.00	₹85.00	₹120.00
1.01 kg to 2.00 kg (Small Kitchenware, Toys, Groceries)	₹80.00	₹115.00	₹175.00
2.01 kg to 5.00 kg (Laptops, Power Tools, Heavy Decor)	₹140.00	₹210.00	₹320.00
Every Additional 1 kg over 5 kg (Up to a maximum of 40 kg per package)	+ ₹22.00 per kg	+ ₹35.00 per kg	+ ₹55.00 per kg

6.2 Definition of Regional Logistics Belts

To ensure transparency, logistics distances within India are classified into three zones:

- Intra-City:** The pickup address of the consumer and the destination warehouse of the merchant are located within the exact same municipal boundary or metro pincode cluster (e.g., Mumbai to Mumbai).
- Intra-Zone:** The pickup and delivery occur within the same designated economic region or state boundary (e.g., Bangalore to Mysore, or Delhi NCR to Lucknow).
- National:** Cross-country shipments where goods cross multiple state lines and major regional sortation hubs (e.g., Chennai pickup returning to a warehouse in New Delhi).

7. Merchant Protection Fund (MPF) and Damage Claim Process

Mert recognizes that merchants may occasionally receive fraudulent, altered, or damaged returns due to systemic issues or consumer misconduct. To protect honest sellers, we maintain the **Mert Merchant Protection Fund (MPF)**. This fund allocates capital to compensate merchants for documented inventory losses caused by returns.

7.1 Standard Operating Procedure (SOP) for Filing an MPF Claim

To secure reimbursement for a problematic return, you must follow this process exactly. Any deviation will result in an automated claim rejection.

- 1. Log the Discrepancy:** Within 48 hours of the return package being delivered to your warehouse, go to the Mert Merchant Panel, click "Disputed Returns," and select the order ID.
- 2. Provide Photographic Evidence:** Upload clear images showing the shipping label, outer packaging condition, and the physical damage or incorrect product.
- 3. Submit an Unboxing Video:** Provide a single, continuous video clip showing the package being opened. The video must not contain cuts, edits, or transitions.

7.2 Requirements for the Unboxing Video

The unboxing video serves as your primary evidence for fraud claims. It must meet the following criteria:

- The video must begin with a clear view of the shipping label, showing the Tracking Number, AWB Number, and Merchant details.
- The six outer edges of the package must be shown to confirm the tamper-proof seal is intact.
- The package must be opened within the video frame. The camera view must not be blocked at any point during the process.
- The product must be removed and inspected on camera to show any damage, wear, or missing components.

Verified Claim Scenario	Mert Internal Investigation Check	Maximum Approved Reimbursement Amount
Wrong Product Swapped (Different item received)	Weight comparison at delivery vs. return hub scans.	100% of product cost payout value (capped at ₹25,000).
Missing Parts / Accessories (E.g., phone missing charger)	Review of unboxing video and original listing components.	Up to 30% of product value based on component cost.
Severe Physical Damage (Item broken, cracked, or stained)	Assessment of transit packaging quality vs. user abuse signs.	75% to 100% depending on salvage or repair potential.

8. Category-Specific Return Assessment Criteria

Determining whether a returned product is in a restockable condition or has been compromised requires clear guidelines tailored to each category. This section outlines the specific validation metrics used by warehouse inspectors and merchants.

8.1 Consumer Electronics and Smart Devices

Electronics require careful inspection to prevent fraud, software locks, and component theft. Inspectors must verify the following before approving a return:

- **IMEI / Serial Number Verification:** The numbers printed on the device chassis, electronic system settings, and outer packaging box must match the original dispatch record.
- **Cloud Account Disconnection:** The customer must sign out of all cloud profiles (e.g., Apple iCloud, Google Account, Samsung Cloud). If a device arrives locked, the return will be rejected and sent back to the customer.
- **Factory Reset:** All personal consumer data, pins, patterns, and security locks must be cleared from the device storage.
- **Hardware Integrity:** The liquid contact indicator (LCI) must not show pink or red discoloration, which indicates internal water exposure. The screen must be free of cracks and deeper scratches.

8.2 Fashion, Footwear, and Lifestyle Accessories

Apparel and footwear have higher return rates due to sizing preferences. They must be checked thoroughly to maintain quality standards for future sales:

- **Odor & Fabric Inspection:** The garment must not smell of perfume, laundry detergent, or sweat, and must show no cosmetic or deodorant marks.
- **Tag Verification:** The original plastic loop fasteners, barcode price tags, and brand stickers must be intact and attached to the item.
- **Footwear Outsole Wear:** The outsoles of shoes must be clean and free of dirt, gravel marks, or creasing, which indicate they were worn outdoors. Shoes must be packed in their original branded boxes.

RESTOCKING AND RE-LISTING PROTOCOL

Items that pass these checks can be returned to your active inventory stream at a "New / Grade-A" level. Items with minor packaging damage but untouched products should be listed under the "Mert Warehouse Clearance Outlet" at a discount to prevent total capital loss.

8.3 Home, Kitchen, and Hard Furniture Assessments

Large items and home goods require distinct handling protocols because they are susceptible to damage during assembly and transport.

- **Knock-Down Furniture Parts:** For items requiring assembly (e.g., wardrobes, desks), the inspector must verify that no screw holes are stripped and the wood panels are not split from incorrect assembly attempts. All hardware packs (screws, dowels, Allen keys) must be returned.
- **Cookware & Kitchen Appliances:** Blenders, mixers, and induction cooktops must be completely clean and free of food residue, water spots, or grease stains. Heating elements must show no signs of burning from dry running.
- **Home Textiles (Bed Linens, Curtains):** Must be returned folded in their original vinyl protective bags. Items that are wrinkled, stained, or have pet hair will be rejected and sent back to the customer at their expense.

8.4 Precious Jewelry and Luxury Horology

High-value items require specialized inspection procedures to prevent the substitution of counterfeit materials or replica items.

- **Weight Verification:** The item must be weighed on a calibrated scale. Any deviation greater than 0.02 grams from the original shipping record will trigger an immediate fraud investigation and a hold on the refund.
- **Spectrometry & Gemstone Testing:** Luxury watches and gold items are routed through a secure regional verification center. Technicians check serial numbers under magnification and test metals to ensure authenticity before a refund is issued.

Product Group	Pass Condition (Restockable)	Fail Condition (Return to Customer)
Kitchen Appliances	Clean, cord wrapped, original box intact.	Food residue present, deep scratches on heating elements.
Luxury Horology	Hologram seal intact, zero link adjustments.	Links removed, case back scratched, warranty card missing.
Home Textiles	Original folding lines, crisp fabric, clean.	Odors present, pet hair attached, washed.

9. Effects of Listing Duration and Promotional Lifecycles

The duration a product listing has been active on Mert, along with its participation in various promotional programs, affects how return and cancellation financial liabilities are calculated.

9.1 Flash Sales and Deep-Discount Campaigns

When a merchant opts into high-velocity sales programs (e.g., "Mert Flash 3 Hour Window"), the platform increases its logistical capacity. However, return policies must adjust to match the higher volume of orders. For Flash Sales, Mert reduces the merchant's commission fee but requires the merchant to accept a slightly higher target return allowance.

9.2 Long-Tail and Aged Inventory (Listed > 180 Days)

Inventory that remains in an MFC for more than 180 days is classified as Aged Stock. If a customer returns an item from an aged batch, Mert will not re-add it to the MFC fulfillment stream. Instead, it is automatically converted to a Drop-Ship Return and sent directly to your registered corporate office to help you avoid ongoing storage fees.

Listing Status / Program	Standard Return Liability Allocation	RTO Charge Protection Level	Allowed Restocking Pathway Options
New Product Launch (First 30 Days)	100% Merchant Funded	Full Protection	Re-list as New Item
Flash Sale Promotion	Shared Co-Funded Array	Partial Protection	Liquidation Lot Routing
Aged Stock (> 180 Days on Site)	100% Merchant Funded	Zero Protection	Mandatory Factory Return
Exclusive Brand Deals	Custom SLA Contract	Full Protection	Refurbishment Center Route

10. Merchant Operational Obligations and Action Timelines

To keep the marketplace running smoothly, merchants must adhere to strict processing timelines. Delays in handling returns or responding to disputes can impact customer satisfaction scores and lead to penalties.

The timeline below outlines the mandatory response windows for various stages of the return lifecycle.

Operational Event Trigger	Mandatory Action Window	Consequence of Window Expiry / SLA Breach
Replacement Order Dispatch	48 Hours from Pickup Scan	If a replacement item is not shipped within 48 hours, the system cancels the replacement and issues a full refund to the customer, charged to the merchant's account.
Return Package Inwarding	48 Hours from Warehouse Receipt	The return is automatically marked as "Approved without Issues," the customer is refunded, and the merchant waives their right to file a dispute or fraud claim.
Dispute Evidence Submission	72 Hours from Dispute Opening	The claim file is closed in favor of the consumer, and any held funds are released back to the buyer's account.
Customer Message Inquiries	12 Hours from Message Receipt	Merchant response scores drop, which reduces visibility in organic search results on the platform.

AUTOMATED SLA ENFORCEMENT ENGINE

Mert's core backend platform works on automated timers. Once a tracking milestone is logged by our courier partners, the timeline begins. Exceptions are only made for national holidays or documented extreme weather events that disrupt logistics.

11. Specialized Custom Contracts and Bulk B2B Order Returns

Standard consumer return rules do not apply to bulk business-to-business (B2B) transactions conducted via the Mert Business Portal. B2B orders involving commercial volumes operate under customized terms.

11.1 Definition of a Bulk B2B Transaction

Any transaction where a single buyer purchases more than 50 units of an identical SKU in one order, or where the total invoice value exceeds ₹1,500,000 and includes a valid commercial GSTIN tax registration, is classified as a Bulk B2B Order.

11.2 Return Limits for B2B Procurement

Bulk B2B orders are not eligible for returns or refunds based on change of mind or buyer's remorse. Returns are restricted to cases of verified manufacturing defects or delivery of incorrect items, and must not exceed 5% of the total shipment volume.

- **Defect Inspection Window:** The corporate buyer has 5 business days from delivery to inspect the shipment and file a formal defect report accompanied by testing documentation.
- **On-Site Commercial Remediation:** If a defect is confirmed, the merchant has the option to send a repair team to the buyer's business location or ship replacement components, rather than processing a full product return.
- **Restocking Fees for B2B Orders:** If a special exception return is approved by the merchant for non-defective bulk items, a mandatory restocking fee of 15% of the total invoice value is deducted to cover handling and logistics costs.

B2B Product Type	Maximum Return Allowance	Applicable Remediation Pathway
Commercial Office Electronics	Up to 5% of Order Volume	On-site repair service or replacement parts within 7 days.
Bulk Corporate Apparel	Up to 3% of Order Volume	Exchange for alternative sizes; refunds are not issued.
Industrial Machinery / Tools	0% (No Returns Allowed)	Governed strictly by the manufacturer's warranty terms.

12. Legal Framework, Compliance Penalties, and Escalation Matrix

Sellers on Mert must maintain professional standards and adhere to platform guidelines. Malpractices, attempts to bypass the automated return system, or intentional manipulation of consumer data can lead to financial penalties and account suspension.

12.1 Schedule of Merchant Compliance Penalties

The table below outlines the penalties for violations of the marketplace return policy:

Identified Policy Violation	First Occurrence Penalty	Subsequent Occurrences / Escalation
Shipping Counterfeit Goods	₹100,000 fine & immediate product listing removal.	Permanent account suspension and referral to law enforcement agencies.
Falsifying Evidence in MPF Claims	Forfeiture of the entire claim and a ₹15,000 administrative fee.	Suspension of all merchant payouts for 45 days.
Bypassing Platform System with Offline Refunds	Formal warning and a ₹10,000 penalty.	Reduction of product listing visibility across the platform by 50%.
Harassing Consumers via Telephone	₹50,000 fine.	Immediate termination of the merchant account.

12.2 Three-Tier Arbitration Escalation Pathway

If a merchant disagrees with a dispute decision made by Mert's automated system or first-level verification team, they can escalate the case through the following arbitration process:

Tier 1: Merchant Support Desk Review: File an appeal through the Merchant Dashboard within 7 days of the initial decision. A senior supervisor will review the case files and evidence within 72 hours.

Tier 2: Internal Arbitration Panel: If the Tier 1 review does not resolve the issue, the merchant can request an escalation to the Internal Arbitration Panel by emailing mertsupport@mert.com. The panel, which includes compliance and logistics managers, will issue a final internal decision within 10 business days.

Tier 3: Legal Redress: If a resolution cannot be reached internally, disputes are subject to the exclusive jurisdiction of the courts in New Delhi, India, in accordance with the Arbitration and Conciliation Act, 1996.

13. Documentation Retention and Audit Requirements

Under Indian tax laws, including the Central Goods and Services Tax (CGST) Act, 2017, and e-commerce compliance regulations, merchants must maintain detailed records of all transactions, returns, and reversals.

13.1 Mandatory Record-Keeping Periods

Merchants must securely store the following documentation for a minimum of **eight (8) years** from the date of the corresponding transaction invoice:

- Original commercial tax invoices and credit notes issued for returned items.
- Manifest sheets signed by couriers for both outward dispatches and inward reverse pickups.
- Unboxing video recordings and high-resolution photos associated with disputed MPF claims.
- Testing certificates and technician validation records for high-value electronics and appliances.

13.2 Platform Audit Rights

Mert retains the right to conduct scheduled or unannounced operational audits of a merchant's physical warehouses and data storage systems. These audits ensure compliance with labeling requirements, storage safety standards, and return verification protocols. If a merchant refuses to cooperate with an authorized audit team, Mert may temporarily suspend their seller dashboard.

DATA PRIVACY OBLIGATION (DPDP ACT, 2023)

All customer information, including names, phone numbers, and delivery addresses printed on return labels, constitutes protected personal data under the Digital Personal Data Protection Act, 2023. Merchants must ensure this data is securely stored and not shared with external marketing services or third-party agencies.

14. Official Endorsement and Execution Clause

This policy document serves as a comprehensive operational guide and regulatory framework for merchants utilizing the Mert marketplace platform. By accessing the seller dashboard, listing products, or processing orders, you accept the terms, conditions, processing timelines, and fee structures outlined herein.

Mert reserves the right to update or modify sections of this policy to reflect changes in regulatory standards, logistics operational updates, or market conditions. Any material revisions will be communicated to merchants via dashboard notifications at least fifteen (15) days before they take effect.

Authorized Corporate Signatory

Mert Technologies Private Limited
Compliance & Vendor Relations Division
Corporate Office: New Delhi, India

Merchant Support Helpline: 8888-8888-88

Merchant Support Email: mertsupport@mert.com

Official Web Domain: www.mert.com

--- End of Document (MERT-MERCH-RRP-2026-V4.2) ---